

Multiple Choice (10 marks)

1. Marginal cost (MC) is equal to average variable cost (AVC) and average total cost (ATC) when:
 - (a) MC intersects AVC and ATC at their average points.
 - (b) AVC and ATC are both greater than MC.
 - (c) marginal cost (MC) intersects AVC and ATC at their maximum points.
 - (d) AVC and ATC are both less than MC.
 - (e) AVC and ATC intersect MC at its average point.
2. Theo loses his job at the public swimming pool when the pool closes for the winter. This is an example of
 - (a) natural unemployment.
 - (b) underemployment.
 - (c) discouraged worker.
 - (d) structural unemployment.
 - (e) jobless recovery.
3. What do sales (the lowering of prices to stimulate purchasing) at stores indicate about competition in many retail industries?
 - (a) Controlled competition with government-set prices
 - (b) Oligopoly with perfect information and no price competition
 - (c) Duopoly with fixed pricing
 - (d) Monopolistic competition or oligopolistic competition
 - (e) Perfect competition
4. Under a pure capitalist system, would the government play a majorrole in the economy?
 - (a) Government intervenes only during economic crises to stabilize the market
 - (b) Government plays a minor role by enforcing contracts and property rights
 - (c) No government intervention in the economy
 - (d) Government provides public goods and services but does not control private enterprise
 - (e) Limited government intervention primarily in defense and public safety
5. A competitive firm's demand for labor is determined directly by

- (a) the marginal (physical) product of labor and the output price
- (b) the opportunity cost of workers' time
- (c) the marginal (physical) product of labor and the wage
- (d) the number of employees
- (e) profits

True / False (10 marks)

Answer True or False

6. True or False: Labor is considered the most important factor of production in the United States due to its fixed supply compared to land and capital.
7. True or False: Demand for a good with many close substitutes is likely to have a perfectly inelastic demand curve.
8. True or False: The demand curve for labor is derived from the equilibrium wage in the labor market.
9. True or False: The Law of Diminishing Marginal Returns leads to average total cost that first increases, but eventually decreases as output rises.
10. True or False: The characteristic roots of the MA process defined by $y_t = -3u_{t-1} + u_{t-2} + u_t$ are -1 and 2.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the implications of using a two-sided alternative hypothesis in a statistical test. Under what conditions would you reject the null hypothesis, and what conclusions can be drawn from this decision?
12. Discuss the role of the trade deficit account in a nation's balance of payments, focusing on how it reflects the purchase and sale of real and financial assets between countries.

End of Paper